journalist reported on the endless systematic abuses at the self-regulatory organizations.[406]

Last, be wary of hybrid firms. These firms embrace the fiduciary standard but are also brokers selling products that may be expensive and not in your best interest. The hybrid model allows them to choose the more convenient standard for each transaction.

In my experience, fiduciary rules protect investors from advisor malfeasance, while suitability rules protect brokers from investor lawsuits.

Do yourself a favor when seeking advice: Find an advisor who is legally obligated to put your interests first. When you are retired and living comfortably off your investments, you will thank me.

What should you own? That's easy! Primarily low-cost index funds. Here's why…

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401 Investors' personal risk tolerance is a major factor in deciding how much to hold in bonds. Too much risk can lead to bad behavior during drawdowns, so consider this carefully.

402 60/40 refers to stocks (60%) and bonds (40%). The proportion can change based on your risk tolerance, age, and what bond yields are.

403 Advisor's Alpha, advisors.vanguard.com/advisors-alpha

404 My firm, Ritholtz Wealth Management, is an SEC-registered investment advisory and a fiduciary to our clients.

405 See: William D. Cohan, "Finra Arbitration Case Offers a Peek Into a Murky World," *The New York Times* (June 3, 2016); Andrew Welsch, "Stiffed Investors Win Arbitration Cases, but Never See a Dime. Do Regulators Have a Fix?" *Barron's* (October 18, 2021); Michael A. Perino, "Report to the Securities and Exchange Commission Regarding Arbitrator Conflict Disclosure Requirements in NASD And NYSE Securities Arbitrations," sec.gov (November 4, 2002); Benjamin Lesser and Elizabeth Dilts, "Wall Street's self-regulator blocks public scrutiny of firms with tainted brokers," Reuters (June 12, 2017).

406 See William D. Cohan's Bloomberg series: "Wall Street Justice System Is a Kangaroo Court," Bloomberg (January 12, 2012); "Wall Street's Captive Arbitrators Strike Again," Bloomberg (July 8, 2012); "Wall Street's Kangaroo Court Gets a Black Eye," Bloomberg (July 29, 2012); "Don't Let Brokers Keep Watch on Themselves," Bloomberg (March 13, 2014); "Wall Street's Overlords Always Win," Bloomberg (April 27, 2014).